

Production

Commerce and production are complementary therefore; they can't be separated because commercial activities are initiated simultaneous with the production function. The success of production depends on the correct anticipation regarding the market demand for the product; what and how much product is demand by the consumers. For this purpose, research is conducted.

Warehousing

A producer does not produce equal to the demand to the market but also in more than that so that cost might be curtailed due to the bulk of production. After the completion of production function, produced goods are kept in warehouse / stock and they are supplied in the market from the stock keeping the demand and prices in view.

Information

A businessman or manufacturer could earn maximum profits when he produces more and quality goods within minimum cost. He, therefore, should know that from where he could get standard and cheap raw materials, from where the laborious and efficient worker on reasonable wages might be hired, in which market the product might be supplied, what is the taste and liking and disliking of the buyers etc. in the lights of these facts, it could easily be concluded that information are indispensable for the success of business.

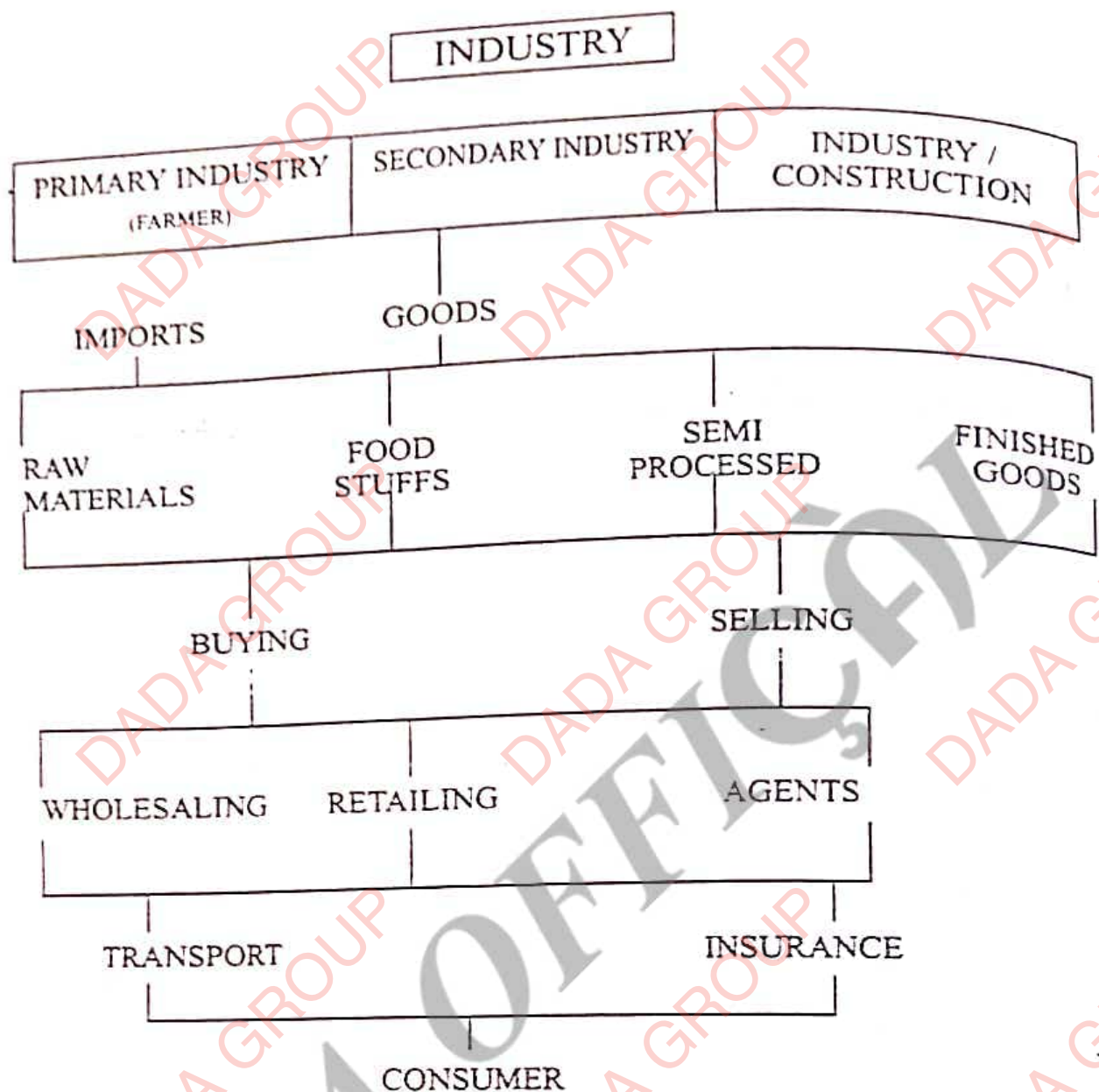
Insurance

Business risks are treated as business losses and generally it is said that whosoever is not prepared to bear the loss should not expect profit. The higher is the risk higher would be the profits. In other words, business and risks are complementary. The business risks are classified into two; the known risks and unknown risks. Theft, fire accident, ship sinking etc. are known risks called insurable risks, the risks which are known are called uninsurable risks like unanticipated depression in demand, change in the taste of consumers, change in the fashion, unfavorable tax policies of government etc.

Transport

Mean of transport balance the abundance and scarcity of the goods by transferring them from one place to another. The raw materials are not used at the place of production and we are not produced at the place where they are used. The problem of abundance and scarcity are solved by the transport system.

The following tree gives at a glance picture of scope of commerce.



Q: Highlight the different branches of commerce? The concept of commerce has been composed of multiple activities, explain the statement? What are the activities which are directly or indirectly concerned with commerce Discuss?

Ans: Synonyms words generally create condition therefore; profession, industry, production, business, trade etc are also synonymous to commerce. All these activities, in fact, are concerned with commerce but have been named differently, they are described as follows.

1. **BUSINESS**

Business is a comprehensive term which covers all productive and distributive activities. All those activities are included in business which are concerned with transport, publicity, broker, wholesaling, retailing etc. apart from it, mining, fishing, agriculture, industry are also included in business because all assist in producing goods and services.

that brevity does not mean making a letter a puzzle. In other words, if the quality of clarity is gone making the letter brief, it would become buzz which would have no meaning and sense of writing. It should also be as a note that use of flowery language is neither needed nor has to be in a business letter. The criterion of brevity is that:

'The writer the letter should provide maximum information of the real in minimum possible words'

Lengthy	Brief
1. For the purpose of:	FOR
2. It is the fact that the incidence was not like this.	IT WAS THE REALITY
3. The copy of invoice is being attached with these papers.	COPY OF INVOICE IS ATTACH.

2. CHEERFULNESS:

Whatever is the case, hopeful attitude is always far better than pessimistic and negative attitude. In a standard business letter, good hopes and attitude full of his welfare should be reflected from the letter.

Non-cheerful Attitude	Cheerful Attitude
1. I am extremely sorry to say that due to some unavoidable circumstances I could not send the consignment.	SORRY FOR DELAY IN SENDIN CONSIGNMENT
2. I am sending a bill of exchange worth Rs. 40,000. Please receive	A BILL OF EXCHANGE OF RS. 40,000 IS BEING SENT.

3. CLARITY:

The language of the letter should be clear and understandable so all possibilities of misunderstanding might be eradicated. A caution and care is needed in selecting the words and phrases to be used in the letter.

CLEAR	VAGUE
1. Being a new number, we invite you to attend this meeting. (who is the new member, you or new)	SINCE YOU ARE THE NEW MEMBER, WE INVITE YOU TO GRACE THIS MEETING.

4. ORIGINALITY:

It is necessary to make the letter standard that the old fashioned and outdated phrases should be avoided to write. The writer should make his best to present his mental thoughts that they could create their original image to the reader.

OLD STYLE	ORIGINAL STYLE
If you would save by compromising on quality, the negative effect of it on customers would decrease your SALE.	WOULD YOU NOT LIKE TO MAKE MORE PROFITS BY CONSUMING A SMALL AMOUNT OF IMPROVED QUALITY?

- TRADE**
2. Trade is related with buying and selling or it is concerned with the mutual transfer of goods and services. Trade is the first phase of marketing activity and it includes both internal and foreign buying and selling. Trade is composed of wholesaling as well as retailing.

- INDUSTRY**
3. Industry by definition is a source in which, by using different techniques and process, goods and services are produced which command value in use of the satisfying power for the consumers. In making of goods, assistance of capital (machines and tools) and labor is acquired for creating the place and form or both utilities in the goods already produced by nature as raw materials.
"Industry includes all the commercial and business activities which produce goods and services"

- PROFESSION**
4. Industrial revolution, closing the chapter of fragmentation of job, introduced the concept of specialization. All the goods, right from sewing needle to air craft, are produced today on the basis of complex Division of labor for which specialization is the basic condition. In the modern factories and plants, it is not possible for an individual to look after all the departments. Many he is the expert of one or two jobs but can't be the master of all. Similarly, no one can render all the jobs of his requirement himself. In other words, some of the people have special talents and capabilities to perform some job which are not possessed by others.

"a service which require a prior special education and training"
Profession is concerned with skilled service and for performing the same the performer receive a remuneration termed as fee. The persons, therefore, who receive fee for performing their special act, are known as professionals.

- Highlight the essentials of business:
- What problems are to be faced by a businessman before establishing a business house?
- To what stages a business house passes during its establishment? Discuss
- On what grounds a business man decides about the feasibility of business?
- Discuss with reference to the essentials of business.
- Essentials of business means the problems which are faced by a businessman before or during establish a particular businessman. It is commonly said that every business involves risk but apart from the business risk, there are other problems also which are faced prior and during the establishment of a business. Before coming into practical existence, every business is formulated in the mind and the same feasibility state of the business is referred to the essential of business.

1. **NATURE OF BUSINESS**

Before establishment of a business or commercial undertaking, a businessman should decide that what kind and type of business he would undertake.

2. **BUSINESS INFORMATION**

Business, whether newly established or old, depends on the availability of required and correct information. The matters which must be known to the business man correctly include sources of supply of raw materials, income of the buyers, inventions, changes in production technology, government policies and other allied business and commercial information.

3. **FUTURE OF BUSINESS**

No business is established for two or some months or some years but it is established for a long time. It is, therefore, imperative that the business man should have a constant watch on the future of the business and technology, to this reference, if the most important factor to keep in view because the technology changes rapidly.

4. **MARKETING**

Marketing function helps in transferring the goods and services from the producers and providers to the consumers. Marketing includes buying, selling, transport and warehousing.

5. **Competition**

Businessman, before starting the business, will have to see also that in what kind of market would he be selling? The market, with reference to competition, could be classified into competition etc. in a competitive market the number of the firms producing the same goods is substantially high.

6. **STAFFING**

Staffing refers to employing the workers for different jobs and labor is the most important factor because the entire production structure depends on labor directly or indirectly. The larger is the volume of business unit the higher number of the workers will have to be employed. A business man can divide the workers into three groups; skilled workers. Semi-skilled workers and unskilled workers, Chartered accountants, engineers, doctors, executives etc.

7. **RISKS**

Prior to start a business thoughtful consideration should be given to the business risks. Nevertheless, risk is the unintegrated phenomena of every businessman. It is, therefore, necessary for a businessman that he should think that to what extent he would be able to bear the risk of business.

KIND OF PRODUCT / SERVICE.

8. This decision is also included in the essentials of business that what kind of goods and services would the business man offer to his customers? Will he produce or will provide by purchasing? The goods are provided to the people on the basis of their color, design, price, size, packing, warrantee etc.

ASSESSMENT OF OPPORTUNITIES

9. The basic objective of initiating any business is nothing but to earn maximum profits. Not only profit earning is the objective but aim is also to acquire the safety and security of the capital to be invested. Moreover, not only the profits earning and security of the capital but it is also aimed that capital should be multiplied.

LOCATION

0. Before initiating the business, if the proper and suitable location is not selected success of the business becomes doubtful. Selection of proper location helps the businessman because his efforts are decreased. When the problem of selection of a proper place arises, various factors works behind

FINANCE / CAPITAL

1. Capital is the basic condition for any business because no business could be initiated without capital. There are two sources of capital to start any business, either through personal savings or borrowing from any individual or the institution. As the personal savings are quite insufficient for the purpose of business, borrowed capital is required from the commercial bank.

MANAGERIAL MATTERS.

- Before starting a new business, the decision about the nature ownership is also of paramount importance. A business might adopt one of the three forms; first the ownership rests with one person called "sole proprietorship", second it might be partnership or it may also be the joint stock company.

GOVERNMENT POLICIES

- No business man could be allowed to carry the business of his own choice therefore, for bringing the proposed and running business in the line of common welfare formulate certain law and regulations. Apart from the government, other institution also make their own laws like chamber of commerce or the labor unions and following these laws is also necessary for the business man.

Ans: Sole proprietorship is the suitable type of business for the business given as under:

1. **MANUFACTURING**

The following business could be run under sole proprietorship if they are adopted on the small scale:

- a. Cosmetics
- b. Publishing
- c. Bakery
- d. Binding
- e. Printing
- f. Soap making
- g. Furniture making

For all these business, small amount of capital is required to initiate and secondly since they are limited, they could easily be supervised by a single man.

2. **WHOLESALE**

The following lines of business might be run under wholesaling because they involve small capital and lesser managerial complexities:

- a. Medicine merchants
- b. Hardware or construction material
- c. Clothes merchants
- d. General stores
- e. Other small business concerning to wholesaling.

3. **RETAILING**

Retailing is the business which is concerned to purchase from wholesaling and to sale to the consumers. Retailing is the final stage of manufacturing after which the goods are handed over to the ultimate consumer. Retailing might be concerned to:

- a. Clothes
- b. Bakery
- c. Hawkers
- d. Book selling
- e. Garments
- f. General stores
- g. Stationery

4. **SERVICE RENDERING**

There is a long list of business pertaining to service rendering out which some are mentioned below:

- a. Construction
- b. Travelling arrangements
- c. Consulting
- d. Tuitions
- e. Advisory
- f. Journalism
- g. Transportation
- h. Tourism
- i. Common laborers
- j. Brokering

7. **Secrecy**
Secrecy is base of a business and it should not be disclosed. Success of business depends upon secrecy. A sole trader can maintain secrets of his business but it is not possible to keep secret in partnership or Joint Stock Company
8. **Low cost organization**
A sole trader is not required to pay registration fees as paid by stock company and legal fees in the formation of partnership.
9. **Full control**
He has got full control over his planning. Nobody is there to interfere in his business.
10. **Immediate action and quick decision**
In business it becomes very essential to take decision on particular times and for that purpose immediate action is required. Sole trader can take immediate action and decision but in partnership and joint stock companies actions cannot be taken without permission of owners and meetings should be called for this purpose. In this way business cannot take proper advantages of time.
11. **Personal incentives**
A man in business for him has everything lose of his efforts are not successful to earn profits. This fact makes him willing to devote maximum time, thought and energy to the successful prosecution of the activities of business has organized.
12. **Credit worthiness**
Sole proprietors liabilities are unlimited as the creditors can ever recover his amount from the personal belonging of the trader. Therefore this fact makes a sole proprietor credit worthy.

DISADVANTAGES OF SOLE PROPRIETORSHIP

The sole proprietorship has some disadvantages which are as follows:

1. **Limited finance**
The sole proprietorship can face financial problems. He can depend only his own resources. It is neither safe not easy for him to borrow large amount of money from banks or other financial institutions.
2. **Difficulties in management**
Each individual has particular attitude or ability in particular respects. Modern business is full of complications arising especially from the changing nature of market and various laws that are being enacted. An individual may not be expert in all matters. Therefore sometimes his decision may be unbalances and would lend to failure of the business.

3. **Dissolution by notice of partnership at-will**
A partnership at will may be dissolved at any time if any one of the partners gives notice in writing to all the partners of the firm of his intention to dissolve the firm.
4. **Compulsory dissolution**
a) By the adjudication of all the partners or of all one partners as insolvent.
b) By the happening of an event which makes it illegal or unlawful for the business to be carried.
5. **Dissolution by the court**
If any partner brings a suit in court, the court may dissolve the firm on any on any of the following grounds.
a) When a partner becomes of unsound mind.
b) When the partner becomes permanently incapable of performing his duties as a partner.
c) When the partner becomes guilty of his misconducts in carrying on business.

CHAPTER # 3

JOINT STOCK COMPANY

Definition:

In the modern times the business and industry has been developed on a large scale the capital required for such industry and trade is huge which cannot be accumulated either in the sole proprietorship or a partnership organization. As a result of this change, a new form of organization has become quite popular in modern times which are known as Joint Stock Company. It is normally defined as; "An association of many person who contribute money or money's worth to common stock or employ it in some trade and business, and who share profit or loss arising from there"

It means the joint stock company is a voluntary association of individual who contribute their money or profit to a common stock for carrying on a particular business. The money or money's worth contributed by the member known as "share holders" forms the capital of the company. The capital is divided into numbers of unit called share. Each share carries definite face value and is transferable in the market without any restriction or formalities. A company as soon as incorporated takes a legal entity distinct from share holders who composes it. It is managed by a group of persons known as directors. Directors are the representatives of share holders.

FORMATION OF JOINT STOCK COMPANY

All the joint stock companies whether public or private are governed by the company's ordinance 1984 and must be formed according to the procedures laid down in that act. For the formulation of Joint Stock Company the following document must be submitted to the registrar, Joint Stock Company.

1. The list of directors along with their address.
2. The memorandum of association on which at least 7 person , who are promoters should sign in case of public limited company and two in case of

9. **Unlimited liabilities**
Each partner has an unlimited liability towards the firm debt. The creditors can recover the debts from the personal property of the partners.
10. **Flexibility of the organizations**
A partnership organization is extremely mobile, flexible and elastic. The partners are at ease to carry on any legal business.

DISADVANTAGES OF PARTNERSHIP

1. **Possibility of disadvantages between the partners.**
Two or more men start out together as close friends or as relatives. However they may develop difference over a year that will make for unpleasantness and inability to work together for the best interest of their firm.
2. **Unlimited liabilities.**
The greatest disadvantages are that of unlimited liability of the partners. At general partners are liable personally for the partnership debts. Where there are heavy losses the partner having much property will have to sustain the entire loss.
3. **Divided control / decay in decision making**
In the partnership more than one person is involved in every decision reached. If partner are not active in the operations it may be necessary to delay the making of an important decision. Therefore divided control leads to delay in decision.
4. **Frozen or block investment**
For an individual who wishes to invest some money in a business, the partnership form may prove to be a poor investment form the view point of liquidity and transferability. It is correct to say that it is easy to invest money but it is difficult to withdraw it, because it would mean the termination of business.
5. **Limitation of size**
Since maximum number of partners is 20, it might be possible that at some time the capital becomes short. If it happens the business has to convert into a joint stock company. Therefore a big business cannot be started even if they get a chance to expand it, because the capital of 20 people may not be sufficient.
6. **No legal entity.**
Law does not recognize a partnership as an organization having an entity existence separate from the partners who comprises it.
7. **Lack of secrecy.**
Secrecy in business is necessary for its success. It is not possible sometimes in partnership.

4. It must be registered before incorporation of the company.....4. it may or may not be registered before incorporation of the company
5. It is not subjected to article memorandum.....5. It is subjected memorandum.
6. It governess the relationship of the company with outside world6. It governs the them. Relationship of members among.

DIFFERENCE BETWEEN PRIVATE AND PUBLIC LIMITED COMPANIES

1. NUMBER OF SHARE HOLDERS

In private limited company minimum number of share holder is 2 maximum is 50 but in a public limited company the minimum number of share holder is 7 and there is no limitation on the maximum number which may increase to thousand.

2. SUBSCRIPTION OF SHARES

A private limited company cannot invite the general public for the purchase of share and debentures. But a public limited company can invite the general public for the purchase of share and debentures.

3. DIRECTORS

A private limited company may or may not have directors; there is no restriction on it. But in case of public limited company there must be at least three directors. There is no limitation fixed for the appointment of directors.

4. CONSENT PARTNER

If there is partner in private company his written consents are not required but in case of public limited company, his written consents are required.

5. CERTIFICATE OF INCORPORATION

A private limited company can start the business without registration or incorporation certificate but public limited company cannot start without registration.

6. PROSPECTUS

A private limited company can issue a prospectus or statement in law of prospectus. But it is necessary for the public limited company to issue a prospectus or statement in lieu of prospectus.

7. AUDIT OF ACCOUNT

The account of private limited company may be checked by any person, or by the body of the company. But the account of public limited company must be audit by chartered accountants or registered account.

8. ADVERTISING ACCOUNTS

It is not necessary for the private limited company to advertise the copy of balance sheet and profit or loss account every year. But for public limited company it is necessary to advertise the copy of balance sheet and profit or loss account every year.

- a. To analyze the problems of 60 trade association created by 37 industrial group.
- b. To analyze that what type of problems are being faced by the finance companies.
- c. To guide for export with the cooperation and coordination of export promotion council.

Financial matters

- 2. The monetary and fiscal measures adopted by the government influence the foreign trade of a country. This organization, after analyzing the effects of these steps, suggests the remedial and correctiveness measures to the governments. In this regard, the steps like Export Credit Guarantee Scheme, Direct exchange and trilateral agreements are of paramount importance.

Strengthening export base

- 3.
 - a. Conducting the training programmes for improving the training to the exporters to increase exports with the help of training institutions and universities.
 - b. Analyzing the problems related to shortage of electricity, roads, railway, and water and to solve them with the help of related departments.
 - c. Making arrangements for the participation of Pakistani traders in the programmed under the patronage of GATT countries, Canada, Germany and other countries.
 - d. This organization prepares the recommendations for the organization working for expanding the production base of the country.

PART II

CHAPTER - 18

COMMERCIAL CORRESPONDENCE (THEORY)

- Q. Discuss the properties of a good business letter.
- Q. What characteristics a standard business letter should have? Discuss.
- Q. What are the characteristics on the basis of which a business letter can be classified as good? Explain.
- Ans. The criterion to judge whether a business letter is standard and good is that it should achieve the objective for which it was written. In other words, accomplishment of the objective is the basic characteristics of a standard letter. Although there are various kinds of business letter but whatever the kind, it could achieve its objective only when the reader of the letter could understand it well. Following are the basic characteristics which make a business letter standard, good and effective.

1. BREVITY:

A business letter should be briefest possible. In other words, the letter, avoiding unnecessary length, should be written brief because brevity is the guarantee of comprehensiveness. Nevertheless, it should be remembered

7. **Imbalance growth**

Agricultural countries survive as producers and importers of raw materials and they do not strive for developing nor can they. As a result, industrial development does not take place in the under developed countries.

Q: Explain the documents used in import and export trade.

Name the documents which are generally used for the purpose of import and export? Explain.

Which documents are needed either for import or export? Explain.

Ans: The documents and papers which are generally used in import and export trade are referred below in brief:

1. **INVOICE:**

This is the document used in the business world which gives the details of transaction. For instance, the invoice received by retailer from the wholesaler has the following details:

- a. List of the goods bought.
- b. Details of every number of every item bought.
- c. Quantity and number of every item bought.
- d. Price
- e. Packing charges.
- f. The means of transport used for the delivery of the goods.
- g. Conditions of delivery and
- h. Conditions of payment

It should be noted that the invoice is not always the claim for payment but it is generally sent after delivery is made. It is the record of transaction.

Different kinds of invoice are as under:

a. **LOCO INVOICE.**

The expenses incurred at the place of buying are shown in this document. The seller, at the will of the buyer keeps the goods in his warehouse therefore; this is the buyer who is liable to bear these expenses incurred on sending the goods from the warehouse to the place of destination.

b. **FRANCO**

This term refers to the declaration that the expenses incurred on sending the goods from the warehouse of the seller to the place of destination all have been entered included in the invoice. It should be noted that these expenses are other than the price of the goods bought.

c. **C.I.F.**

The price of the goods and the expenses incurred on freight are entered in this document. No losses consequent by exceptional risks like war are included in this document.

d. **FREE ON BOARD INVOICE.**

Apart from the price of the goods, loading charges of the goods on board are included in this document but no insurance and fair amount is included.

e. **C & F:**

The price of the goods and the expenses incurred from the place of sell to the place of buying are included in this document but no amount of insurance is included.

After compliance of packing, marking is done. The crates or the containers, in which the goods have been packed, are marked with special signs so that they could be recognized amongst other goods in the ship or rail bogies. The following should be indicated at the time of marking.

- a. Name and brand of the goods
- b. Quantity, weight of the goods.
- c. Degree of delicacy of the packed goods
- d. Special number if any.
- e. The place of destination where the goods are to be taken.
- f. Any special mark.

Tenth step: APPOINTMENT OF FORWARDING AGENT:

Clearing agent is appointed for importing while forwarding agent is appointed for exporting. The activity of forwarding agents begins from marking and ends as soon as the goods are loaded on the board/

Eleventh step: OBTAINING SHIPPING ORDER:

At this stage, the exporter acquires space from the shipping company on the ship for exporting the goods. The freight rate is not determined on the basis of the weight of goods but their volume. If the volume the goods to be exported is very large, the entire ship is chartered. Such agreement is termed as "chartered party agreement". After the agreement with the shipping company after which the captain of the ship becomes duty bound to loads the goods on the ship. Freight charges are also mentioned in this order which are to be paid by the importer.

Twelfth step: PREPARING INVOICE:

Having received shipping order, the exporter prepares invoice in which the name of the ship, name of the goods, quantity, quality, type of packing, point of destination and price is mentioned.

Thirteenth step: OBTAINING CONSULAR INVOICE:

If the goods are to be taxed, the custom official can't trust the exporter that whatever the value of the goods which has been shown in invoice is correct. It may be over or under invoicing. For resolving the problem, the exporter obtains the consular invoice from the importing countries embassy in which the quoted value of the goods is verified. This invoice makes the exporter free from non clearance of the goods to be accepted by the custom officials. This invoice is signed by the consular of the importing country's embassy. The consular invoice is sent to the importer according to which the importer pays import duty in his country.

Fourteenth step: OBTAINING CUSTOM PERMIT

Custom officer issues custom permit to the exporter which shows whether the goods to be exported are subject to levy tax. If the goods are not be taxed, whether the duty has been paid. Having paid the duty, the consignment is sent to Dockyard.

Fifteenth step: PAYMENT OF DOCKYARD CHARGES:

Having passed through all the stages mentioned above, the goods are sent to dockyard where dock challan is given to the exporter to fill. One copy of this challan is retained by the dockyard and a copy is handed over to the exporter. On the basis of this challan, the exporter pays dockyard charges. When the dock challan is paid, the same paper is turned into dock receipt.

- k. Construction contracts
- l. Engineering
- m. Libraries
- n. Commission agent
- o. Accountancy
- p. Repairing
- q. Offices
- r. Hotels and,
- s. Barber shops.

SOLE PROPRIETORSHIP

It is the form of business organization in which an individual introduces his own capital, uses his own skills and intelligence in the management of its affairs and it's solely responsible for the result of its operations. He may run the business alone or obtain assistance of employees. It is the easiest to form and is also the simplest in organization.

ADVANTAGES OF SOLE PROPRIETORSHIP

1. Easy to start

The formation of sole proprietorship is quite easy than partnership and joint stock company. There are no legal formalities for the starting this business, like agreement, memorandum of association, or articles of associations.

2. Easy to dissolve

It is easy to dissolve because sole trader is not required to take permission for the dissolution either form share holder in the general meeting as in the case of joint stock companies or consult all the partners in the case of partnership.

3. Freedom of action

A sole trader has maximum freedom to take decision at his own end. His decision is final he may expand his business by adding new products or can discontinue old ones. He can wind up his business or he can change his business place from one place to another.

4. Freedom of government control

He is free from government control to a great extent than any other form of organization. A sole trader is not required to send his periodical balance sheet to the government

5. Owners of all profit

No other organization permits to retain cent percent profit they earn. But in sole proprietorship the sole trader is the master of his business and is entitled to retain the entire profit of the business.

6. Low taxes

He has to pay minimum income tax and other taxes than in partnership and Joint Stock Company. In this manner he saves much out of his profit.

8. **Salaried partner**
Generally in professions, it is not seen that some person is admitted as a partner who invested his capital in the business nor has interest in goodwill of the firm such a partner is remunerated in different way.

ADVANTAGES OF PARTNERSHIP

1. **Large amount of capital**
In sole proprietorship the amount of capital is limited to personal fortune and credit of one individual. In a partnership the capital can easily be raised according to requirements by bringing additional works
2. **Combined judgments and managerial skills**
In partnership business there are more than one owner, it is therefore possible to combine the abilities and knowledge of every partner to the best interest of the business. With combine decision and judgment is greatly benefitted and more profit is possibly earned.
3. **Personal interest**
Since each general partner is responsible not only for his acts but also for the acts of his partners, he shall devote his personal attention and interest to the activities of the firm and this will enable a firm to attain maximum efficiency.
4. **High credit standing**
A partnership has little difficulty in obtaining credit. Especially if the partners have their personal wealth. If there are several partners and one of them has several extensive private means, creditors have little reason to doubt of partnership will be paid in full.
5. **Ease of formation**
A partnership business is easy to start with as it is free from all legal formalities. It does not suffer the legal handicaps. The business can be easily increased or decreased to the suitable condition.
6. **Retaining of valuable person / provision of new blood to the business :**
New blood can be infused into business by admitting new partners. Then the business can utilize the genius of an enterprising young man.
7. **Co ordinate decision**
Then decisions which take place in the partnership is the co ordinate decision i. e. the decision which is jointly take by all the partners.
8. **Lighter risk**
Risk is spreads here over several persons who are the partners. All the partners pool together their abilities and their income.

- a. Terms and Conditions of sale:
- b. Concessions in case of sales returns
- c. Kinds of available goods to be purchased and their quality
- d. General and special concessions / discounts on the basis of volume of purchase
- e. Credit facility and the minimum and maximum period of credit facility.
- f. Guarantee and warranty of the product.
- g. Other qualities of the goods like brand, style, model, color, smell, design, expected durability, packing etc.
- h. Place, method and time of delivery.
- i. Prices of the goods
- j. Will the required goods are available in present stock on or be produced after receiving the order?
- k. Commission to be paid to the dealers and other parties.

3. **CLAIM OR COMPLAINT LETTERS:**

Following are the matter with reference to which a buyer may have complaints against the seller or the seller may have complaints against the buyer in business matters:

- a. The buyer wrote an inquiry letter but no response was received.
- b. When the purchaser received the goods they were either not in confirmation of the order or some of them were defective.
- c. The goods delivered late.
- d. The seller may have the complaint the he sent the consignment but did not receive the payment or the payment was received very late. On the basis of nature of complaint, the buyer or the seller wants compensation of losses called claim therefore, the affected person may have any of or more of the following claims.

4. **REMINDERS**

Often it happens that the firm, due to unavoidable or out of control circumstances, finds it not capable to send the consignment in time or delivery goes extra ordinarily late. For instance, if the machine during the process of production is broken or shortage of raw materials is created unexpectedly, power may be failed or closed for a long period or strike may be observed in the city or the transport firms may go on strike.

5. **SALES LETTER:**

Sales letters are generally written and sent either for increasing the sale or to introduce new products to the prospective buyers. The sales letters are written in such a manner and style that the reader should feel that if he would purchase the goods, he would have higher advantage than whatever he would pay in terms of their price.

6. **Circular / Announcement**

The circular or announcement letters are sent to the common people. These letters are consisted upon the information and announcement in which the common men may be interested. These information and announcement may be as under:

1. **ORDER / INDENT LETTERS**

These letters are written by a company to a producer or manufacturer for the purpose of buying the goods. The matter which are included in the indent letters are, the name of the goods, price, brand, standard, quality, mode of delivery, packing and alike matters.

2. **INQUIRY LETTERS**

The people want to serve business organizations in different capacities and positions. Either a company wants to purchase different goods or different companies want to purchase the goods of this company.

i. **INQUIRY ABOUT CANDIDATE FOR JOB:**

At the time of appointment a person finally on a job, the employer wants to collect the following information about the candidate either from the exemployees of from the candidate directly.

- a. Extent of loyalty with the ex-firm
- b. Punctuality of the time
- c. Honesty of the candidate
- d. Personality and behavior
- e. Up to what extent he could be trusted upon?
- f. Communication ability and capability.
- g. Degree of initiations
- h. Salary, benefits, period of service and the powers delegated during the employment period.
- i. Technical ability and attitude towards the resolution of problem
- j. The last but most important information: reasons for leaving / firing from the previous job.

ii. **STATUS INQUIRY**

The modern business runs on the basis of credit. When a company wants to sell the goods to a party on credit or wants to extend the loan to another party, it becomes necessary for it to collect information about him from a third but neutral person or company.

The basic purpose of this inquiry is to ascertain about the financial status of the person to whom the goods are to be sold on credit.

The following information, in this connection, is required.

- a. General opinion of other firms / companies about the person or the company to whom the goods are to be sold on credit.
- b. Is he involved in speculation business?
- c. His reputation and credibility in the market?
- d. Stability of his business.
- e. When from is he introduced with the persons or the organizations from whom the information are being collected about him?

iii. **ENQUIRY ABOUT PRODCUT:**

When the prospective buyer writes a letter to the seller enquiring about the goods to be purchased, he wants to about:

Q: Highlights the parts of a business letter in chronological order.
Naming all the parts of the business letter give their samples.
In how many parts a business letter can be divided? Explaining them give their samples.

Ans: The characteristics of a standard and good business letter highlighted in the foregoing pages were concerned with the text, tone, language and description in relation to the internal characteristics of the letter.

PARTS OF A BUSINESS LETTER:

A business letter, according to its structure and setting, can be classified into the following parts:

1. **HEADING;** shows the name of the company, its address, telephone, fax, internet number, telephonic address.
2. **INSIDE ADDRESS:** or the name and address of the person/or the company to whom it is being written.
3. **OPENING SALUTATION:** for example, Sir, Madam, Sirs, masers, Mrs., etc.
4. **SUBJECT:** text of the letter in short.
5. **BODY / TEXT;** the matter of the letter in which the main objective is shown for which the letter is written
6. **COMPLEMENTARY CLOSE:** for example, sincerely yours, yours truly, yours obediently etc.
7. **SIGNATURE:** name with signatures of sender of the letter.

LETTERS (THEORY)

Q: Describe the kinds of business letters.
In how many kinds of business letters are divided? Explain
What principles should be observed at the time of writing different kinds of business letter? Discuss.
Highlight the various types of business letters.

Ans: Generally, there are following kinds of business letters:

1. Order Letters
2. Inquiry Letters
3. Collection / Dunning Letters
4. Claim / Complaint Letters
5. Reminders
6. Sales letters
7. Letters for obtaining / Appointment of Agency
8. Circular / Announcement Letters
9. Job Letters
10. Introductory Letters
11. Official Letters
12. Demi Official Letters

Details of these different kinds of letters are given below:

presented by the exporter to the banker of the importer and the bank, against the bill of exchange. This letter of hypothecation saves the exporter from any loss which may accrue to him due to reversal from payment by the importer. On the basis of this letter, the banker or his agent can auction the goods as they wish.

6. **CERTIFICATE OF ORIGIN:**

For determining the place of origin of goods, this letter is used on the large scale in the European common market. In this certificate of origin the place of making or production of goods is shown which are exported.

7. **CONSULAR INVOICE:**

Different duty is levied in different countries and to induce the payment of the duty, it is imperative with the document pertaining to the free on board price and freight charges, to present an invoice signed by the consul of the importing country verifying that the imports are correct.

8. **DOCUMENTS AGAINST ACCEPTANCE (D/A):**

In this form of documentary bill, the documents can be had only when the documentary bill is paid.

9. **BILL OF LADING**

This document is prepared by shipping company or the owner of the ship which confirms the right of ownership on the goods boarded on the ship and without which the importer can neither have the delivery of the goods nor he can claim his ownership of the goods.

10. **BILL OF ENTRY**

When the consignment reaches the port, the importer presents a declaration to the custom officials in which the entire details of the goods is given like quantity, quality of the goods, standard, price etc.

11. **MATE'S RECEIPT:**

Having the goods loaded on ship, the mate of the ship issues a receipt to the forwarding agent in which the number of item, number of containers / packets, positions of packing is verified.

Q: What role has been played by the export promotion bureau in promoting the exports from Pakistan? Discuss
Write detailed note on export promotion bureau.

Ans: Export promotion bureau established in 1963, is an organization working under the ministry of trade. Its head offices is in Karachi and the regional offices are working in all the four provinces. The total number of workers and officers are 918.

Working fields:

Export promotion bureau has been playing a vital role in promoting the exports of Pakistan which can be assessed by the diversified given a under.

1. **Tracking with problems of finance companies**

This organization assists the finance companies and trade associations so that the exports may be increased to the maximum. This organization takes the following measures to help and assist the Handicraft Export Corporation, Export Corporation and International Films Corporation.

Q: Discuss advantages and disadvantages of foreign trade.

Foreign trade is, in addition to its useful aspects, also harmful. Elucidate the statement.

Ans: Foreign trade is advantages in the opinion of some people while some are of the opinion that it is advantageous as discussed below.

ADVANTAGES:

Foreign trade is advantageous on the basis of the following

1. **Balance between demand and supply**

Whenever imbalance is created between the demand for and supply of any commodity and service, imbalance of the economy is a must. If the national product increases but the demand does not increase with the same pace, the producer will have to face the problem of over-production due to which price will fall sharply and the economic structure may be disturbed. Similarly if the demand exceeds the supply, the prices will increase so sharp that the survival of the people will be endangered. Foreign trade is capable enough to convert increase into decrease and vice-versa. Surplus product may be exported and deficiency of product may be compensated through import and thereby the price may be stable which will guarantee the stability of economy.

2. **BEST ALLOCATION OF RESOURCES**

Foreign trade is established on the basis of the principles that every country should acquire specialization in the production of the goods which it could produce at the lower cost compared to other countries. The waste of resources could be avoided only when they are used in the best manner and this is possible through foreign trade only.

3. **INTERDEPENDENCE**

Every country can't produce everything of its use but whatever is produced anywhere in the world, it is used by all the countries. The countries which could produce some goods can cater the needs of the countries where the goods are not produced and they could get the goods from them which are not produced category of the countries. International trade, in this manner, guarantees mutual interdependent survival.

4. **PROMOTION OF WORLD PEACE**

Foreign trade, making the countries supporter of one another, has promoted interdependence. They can't think even to be isolated from the integration. The countries, despite mutual difference, avoid war which is the guarantee of global peace.

5. **SPECIALIZATION**

When a country follows the principle that it will produce those goods only which it could produce comparatively at minimum cost, it concentrates on the production of some selected goods. Consequently, specialization comes into being. As a result of specialization, the pace of production increases and the quality of goods improves.

6. **EXCHANGE OF SKILL AND CULTURE**

When the goods and services are exchanged amongst the countries, technology from one country is transferred to the other country through the goods. When the people meet together, tradition, habits etc are interchanged. Friendly relations are established amongst the nations which is also the guarantee of peace.

Q: Discuss the qualities of good businessman:
What are those qualities which guarantee the success of a business man? Explain.
Give the personal qualities of a business man in this light of this statement.
To whom would you call a successful business man? Explain.

Ans: Irrespective of volume of capital he possesses to invest a businessman should be equipped with some personal qualities for running any business successfully. In the opinion of economists, the success of a business of a business depends on the ideal combination of factors, (land, labor, capital, organization) of production so that maximum production might be possible within minimum cost but the optimum combination of the and qualities of the business man.

PERSONAL QUALITIES OF A BUSINESSMAN

A good businessman, to be successful in business, should have the following qualities.

1. **WELL INFORMED**

Present age is the age of information technology therefore, a businessman should be well informed of all the business circumstances and ups and downs of commercial environment in and out side the country.

2. **EXPLOITING OPPORTUNITIES**

Ever creating opportunities of profit earning is the nature of business world therefore; the business man should know how to mold them in his favor. These opportunities include favorable changes in the market conditions, changes in the government policies.

3. **RISK BEARING**

Every business embodies risk therefore, it is said that so long there is the business there would be the risk. Every business embodies risk therefore, it is said that so long there is the business there would be the risks.

4. **EFFICEINCY ORIENTED**

Since the businessman is not only the owner but also the organizer of his business therefore, he should have completed the grip on planning, organizing and controlling the business. He determines the objectives, makes policies, determines the methods of performance, draws rules and regulations, makes plans and prepares budget.

5. **RESULT ORIENTED**

Every businessman , prior to initiate the business , determine the aims of the business and remains ready and alert to induce new trends in the business and to leave the old trends. The aims of business include guidance to the buyers. Provision of services, achievements of persistent growth, establishing his identity and increase it continuously and ultimately to earn maximum profits.

FAIR DEALINGS

6. A good businessman should be fair in the matters pertaining to employment, sales, wages; promotions and other allied matters because fair dealing is the basic condition of a successful business. His customers and employees should have unshaken confidence in him because confidence accelerates the business.

EXPERIENCED

7. No alternative of experience is there therefore the more is the business experienced, the more will be the curtail in the losses and increase in profits.

UNBELIEVER OF MYSTICAL FORCES.

8. A successful businessman analyzes all the conditions and happenings scientifically. If he believes firmly in fate, luck, miracles, etc he can't run business successfully.

DYNAMIC PERSONALITY

9. Successful business and dynamic personality of the businessman are complementary. Whatever the problems created in the business are forced to give the passage if the business man is full of confidence, energetic and initiative.

UNEMOTIONAL

10. Emotions make the actions and thought imbalance which is injurious for the businessman. He should take business decisions rationally and in the light of the facts keeping the personal emotions aside.

SELF CONFIDENCE

11. Self confidence is the basic and imperative conditions for the success of business because the lack of confidence does not help to face competition in hard times. Moreover, lack of self confidence is also a deterrent to take right decision.

LEADERSHIP

12. A successful businessman should be equipped with the quality of leadership so that he might motivate his employees and staff to follow the tracks drawn by him.

or what type of business sole proprietorships the suitable kind of business? Explain.

Prepare a short list of the business which suits to be under taken under sole proprietorship.

Why sole proprietorship is the suitable type for running the following business?

Manufacturing business

Wholesaling business

Retailing business and,

Service rendering business

- c) Where services are sold and customer requires personnel attention egg. Patient, lawyers. Dentists, cobblers and accountant
- d) Where special regard has to be shown to the tastes of the customers egg. Tailoring, restaurant, managing etc.
- e) Where market is limited eg. Retail trade.

Thus sole proprietorship has its own scope of activities and continuous to exist in spite of developing of bigger organizations like partnerships and joint stock companies.

Partnership:

It is rare that person combines in himself all that is essential to make him successful businessman. Beside to reap the economies of large scale operation sole proprietor may fail to cope up with demand of expansion. He may posses adequate capital but he may be handicapped by the lack of experience. Skills and managerial ability. Or it may be the other way round. Therefore a combination of two or more or more persons, some having capital and others having skills of experience proves to be beneficial.

According to section 4 of the Indian partnership Act of 1932, partnership is defined as

"The relating between persons, who having agreed to share profits of a business carried on by all or any one of them acting for all"

The above definition reveals that:

1. An agreement between partners is necessary
2. The agreement must be in regard to the sharing of the profit of the business.
3. The agreement must be carried by all or any one of them acting for all.

The individual who constitute the partnership are called partners and they collectively form the firm. The name in which there business is carried on is called the firm name.

Features or elements or characteristics of partnerships:

Partnership is the result of contract between two or more person who has agreed to carry out on a business with the object of earning profit. The following are the main features of partnership.

1. Agreement

The most important element without which partnership cannot be formed is the agreement between partners. It is immaterial whether the agreement is written or oral but its existence is essential. Besides, the agreement must be done in carrying the business and sharing of profit.

2. Numbers of partners.

There must be an association of two or more person to constitute a partnership. The maximum number of partners is 10 in banking business and 20 for general business.

a) **UNLIMITED COMPANIES.**

These companies are registered under the companies act. The liabilities of share holder of such companies are unlimited. An unlimited company can take numerous members. It has a separate entity and is managed by the board of directors and its share is freely transferable.

b) **LIMITED COMPANIES**

The liabilities of the members of limited company are limited by the total value of the share they hold or by the amount they have promised to contribute in the event of liquidation of the company. It is of two types.

i) **PRIVATE LIMITED COMPANY**

It is composed of at least two members and in no case can the number of its member exceed 50. It cannot issues share or debenture. Its share cannot be transferred to other.

ii) **PUBLIC LIMITED COMPANY**

It is formed by at least 7 members but there is no limited to the number of people. It can issue prospectus in order to sell its share in the market. Its share is transferable to others

It has two types:

i) Company Limited by Share the liability of the shareholder of the company limited by the share is limited to the extend of the face value of the share held by them.

ii) Company limited by guarantee the members of such company undertake to shoulder a definite amount of extra liability over and above the total value of the share they hold.

MEMORANDUM OF ASSOCIATION

The first thing in the formation of joint stock company is the preparation of memorandum of association. It is the document which sets out the constitution of the company and as such is really the foundation on which the structure of the company rests. That is why this document has often being called the charter of the company in its relation to the outside world. The document is prepared by the promoters of the company. It must contain the following clauses.

1. **Name clause**

In this clause the full name of the company is shown and the last word of the name of the company must be limited. The company can adopt any name but there are certain restriction and the words like "Royal, imperial, empire, estate" etc cannot be used without the special permission of the government.

CHAPTER - 11

WHOLESALE

Q: Differentiating between wholesaling and wholesaler define the wholesaler in the light of the functions he discharges.

Wholesaler is the media between the producer and the retailer. Define the wholesaler in the light of this statement.

Defining wholesaler highlight his functions.

Ans: Prior to define wholesaler, it is better to differentiate between the terms of "wholesaling" and "wholesaler".

"Wholesaler is the medium activity through which the goods are sold to the retailer " While

"Wholesaler is the middleman who, purchasing from the producer in large quantity, sells them to the retailer".

1. He , providing the retailers the goods of their choice and demand, relieves them from the problem of having the large stock of the goods
2. He helps the producer because the producer has no interest in providing the goods in small quantity to the retailers.

The wholesaler has no direct contact with the consumers. A wholesaler generally does not perform as the producer but in some cases it is also possible that the producer himself can supply the goods as wholesaler directly to the retailers. A comprehensive definition of the wholesaler can be given as under:

"Wholesaler is the person who does not purchase the goods for his personal use but either to earn profit or to for the accomplishment of business objectives."

1. Selling of the traders, wholesaling and commission agents from the manufacturers directly or through sales branches.
2. Sale to the retailers.
3. For selling to the people other than the consumers irrespective to the cases whether these purchase are done directly from the firms or from the middlemen.

WHOLESALE ACTIVITIES.

All the activities which are related to sale of goods and raw materials to the producers or the manufacturers are included in wholesale activities. The following are the wholesale activities:

1. Sale of the goods to the manufacturers and other kinds of producers.
2. Sale of the construction companies.
3. Sale of goods to the retailers
4. Sale of agricultural items to the farmers.
5. Sale to the retailer
6. Sale of agricultural items to the farmers.

The services of middlemen are also included in the wholesale activities like the service of brokers and agents through whom the ownership of goods is transferred from the producers to the customers.

Sale of goods to the educational and training institutes like scientific apparatus, computers etc.

7. **DIVIDED RESPONSIBILITIES**

The work of company is divided among various departments and the in charge of the company is quite independent. This sometimes causes much hardships and result inefficiency.

8. **SOURCE OF DECEIVING INVESTORS**

By forming bogus companies the promoters can deceive the general public.

CHAPTER # 5

PROSPECTUS

MEANS OF PROSPECTUS:

After the company have been registered, it promoters take upon themselves the task of making the existence of the company known, as widely as possible and inviting the public or subscribe to its share so that the company may have sufficient capital to commence its business. This is done by preparation and issuing of another document known as prospectus.

OBJECT OF PROSPECTUS

1. To inform the public about the newly formed company.
2. To create firm believes and confidence in the minds of the prospective investors and to induce them to invest their saving to the company.
3. To assure that the information, terms and condition specified in the prospectus are reliable and backed by relevant documents which are kept in the company ordinance.
4. To express the director's liabilities for information served in the prospectus.
5. To describe prospectus of company and advantages that one can gain by becoming the share holder.

CONTENTS OF PROSPECTUS

Generally the prospectus contained the following:

1. Name and object of company
2. Name, address and occupation of the signatories to the memorandum of association and article of association along with the number of shares purchases by them.
3. Directors' qualification shares and remuneration of directors for their service.
4. The name, addresses, occupation of directors. Managing directors and other officers together with their description. 5. The name and address of the auditors.
5. The name and address of the bankers where accounts of the company has been kept.

1. **HELP IN SELLING OF PRODUCT**

A producer who is expert in the art of manufacturing may not be expert in the art of selling the produced goods because the talents and expertise which are required for selling may not be possessed by the producer.

2. **PROVISION OF MARKET INFORMATION:**

The wholesaler provides the market information to the manufacturer like what is the liking and disliking of the customers? He gathers this information's from the retailers and wholesaler are transferred to the manufacturer enabling him to set his programme of production in the light of likes and dislikes of the prospective buyers.

3. **FINANCIAL ASSISTANCE:**

Wholesaler provides financial assistance also to the manufacturer. A manufacturer does not have surplus capital to sell the goods to the retailers on credit while the success of the business depends on the volume of sale.

4. **KEEP PRODUCTION CONTINUE:**

Wholesaler also assists the producer in keeping the process of production continue because during depression when the goods are not demanded.

5. **STORAGE FACILITY:**

Wholesaler relieved the producer also from the problem to storage. Both production and storage are complementary. The large stock of production is with the producer on which the cost of stock carrying also incurs.

6. **DIRECT LINK WITH RETAILERS:**

A wholesaler has the contact with all small and big retailers while it is not possible for the manufacturer. Having contacts with all the retailers is easy for the wholesaler because he remains in the market all the times.

7. **BURDEN OF CREDIT:**

The entire businesses of the retailers carry on credit. In other words, they purchase from the wholesaler on credit and sell to the consumers on cash. The wholesalers purchases the goods from the manufacturer on cash.

8. **WIDE DISTRIBUTION**

The producer, with the help of wholesaler, succeeds in distributing his product in the market on the large scale. It could also be said that the distribution could be increased many times more by selling to 10 wholesalers rather than to sell 10 retailers.

Q: What services are rendered by the wholesalers to the retailers? Explain Discuss the mutual relationship between the wholesaler and the retailer. What is the importance of a wholesaler for a retailer? Discuss.

Ans: The wholesaler also serves profitably for the retailers because he is the bridge between the producers and the retailers.

SERVICES TO THE RETAILERS:

A wholesaler renders the following services for the retailers.

1. **BUYING FACILITY**

The retailers are facilitated for selecting the goods for their customers because the wholesaler maintains the large stock of the goods. When the retailer purchases from the wholesaler, many of his problems are automatically solved.

2. **LESSENING BUSINESS RISKS:**
When the supply exceeds the demand in the market, the prices start to fall sharply but the wholesalers, in this situation, purchase the goods from the producers and stock them and so the supply falls and adjusts with the demand.

3. **CREDIT FACILITY:**
The producers generally do not sell to the retailers on credit while the wholesaler does so. The business of the wholesaler runs on the basis of credit sale. When the retailers, in this manner, purchase the goods from the wholesalers on credit, they get the credit facility. This facility can't be provided by the manufacturer or the producer.

4. **QUALITY MAINTENANCE:**
When the wholesaler sells the goods to the retailers, they provided him the information pertaining to the market demand and preferences of the buyers. Since the retailers are in direct and close contact with the buyers, they know their habits of purchasing, liking and disliking, preferences etc.

5. **STORAGE SERVICE:**
The retailer, due to shortage of capital, is not in a position to purchase and stock of the goods. This service is provided to him by the wholesaler. If the retailer purchases the goods from the manufacturer directly. He will have to purchase in bulk.

6. **ADVANTAGE OF SPECULATION**
Wholesalers generally acquire specialization in some selected items due to which they are in a position to get the goods from the producers on low prices and the advantage of low prices is transferred to the retailers.

7. **TIMELY DELIVERY:**
The wholesaler, as compared to the producer, is in better position of delivery. Moreover, the wholesale is in close contact of the retailer, instant delivery is not the problem for him. Some producers commence the production after the receipt of order of therefore.

8. **ASSUMPTION OF RISK ON BEHALF OF THE RETAILERS:**
Wholesaler, assuming the total risk of the business, relieves the retailer from it. These risks include change in the taste of buyers, sharp oscillations in the prices or damage of perishable goods.

Q: What do you understand by retailing and describe its importance in the modern business.
The only method of transferring the goods from producers to the consumers is retailing. Explain the statement.
Defining retailing highlight its significance.

Ans: Business is run either on wholesale or retail basis. When the goods are purchased from the wholesaler in small quantity and is sold to the customers, is called retail selling and the person who adopts this method of selling is called retailer. In other words, retailer is the via media between the wholesaler and the consumer. Despite the oldest form of buying and selling, retailing is used so far excessively. The goods are produced on the large scale in the modern times and since the retailer has

Third step: CORRESPONDENCE WITH FOREIGN EXPORTER

After having the import license, the importer initiates correspondence with the foreign exporter regarding the prices, brand, quality, time and the mode of payment, the delivery, shipping and packing of the goods to be imported

Fourth step: PERFORMA INVOICE / QUOTATION / ORDER

As a third step, proforma invoice is prepared in which the name of the importer, his address, details of goods to be imported, their places, standards and the value in either US dollar or British pounds.

Fifth step: APPOINTMENT OF INDENTERS

At this stage, the importer appoints indenter who is acting within the country as the agent of the foreign exporter. It should be noted that it is also necessary for the indenter to get himself registered with the chief controller of imports and exports.

Sixth step: INSURANCE COVER:

It is imperative for the importer to get the goods insured against theft, fire, decrease in number of goods and ship accidents from a local insurance company. If the local company is not in a position to insure the big consignment, the importer can acquire the services from the foreign insurance company also. The importer will get insurance cover note as consequence getting his the goods insured.

Seventh step: LETTER OF CREDIT (L/C)

As this step, it is necessary for the importer to contact his banker with proforma invoice and insurance cover note and to open letter of credit in favor of his exporter. In the form of letter of credit the information which are to be filled include the license number, name of exporter, name of insurance company, insurance cover note, details of the goods to be imported, mode of loading on ship and delivery, mode of payment and validity date of letter of credit. Note that the fee of opening letter of credit is charged from the importer by his bank.

Eight step: PREPARATIONS OF EXPORTER

The exporter, on the other hand, makes preparations to send the goods according to the order of the importer.

Ninth step: PREPARATIONS OF BILL OF EXCHANGE

The exporter prepares a bill of exchange in the name of importer and gets it accepted from the importer's banker after which, receiving the advice of letter of credit, he hands over the shipping documents (includes invoice, certificate of origin, certificate of measurement and weight, bill of lading) to the shipping company, after completing this formality, he receives the amount in the letter of credit.

Tenth step: PAYMENT OF BILL

The importer, having paid the bill to his banker, receives the shipping documents from the exporting agency.

Eleventh step: CLEARING AND FORWARDING AGENT

After receiving all the relevant papers. He hands them over to his clearing agent. The clearing agent, makes arrangements to get the goods cleared and received which according to his anticipations might have reached port.

Last step: PAYMENT OF CUSTOM DUTY AND SALES TAX

When the import goods reach the port, the custom inspectors confirm whether the goods are according to invoice? Afterwards, they calculate custom duty, sales tax and other taxes on the goods imported. After the payment of this amount, the goods get cleared and are handed over to the clearing agent of importer.

Q: What is the export business and what procedure is adopted for exporting the goods? Explain.
Discuss the method for export business step wise.
Defining export as the steps of export.

Ans: In accordance with the statement of foregoing pages, the nature has bestowed upon some countries with a favorable geographical environment, climate and situations that they produce not only for their own self but also in surplus. They are sufficient in some goods and export to other countries which are deficient. Export, therefore, is defined as:

"To sell the surplus goods to other countries"

The activity of exporting the goods is termed as "export business". The exporters are of two kinds:

- i. His manufacturers who either export directly or through their agents.
 - ii. The people who, acquiring the purchasing order from other countries, purchase the goods from the local produce and export to other countries.
- In the second type of exporters, all the people are included who export the goods having purchased from the local producers and other people are included in exporters. These people specialize in export business and run big business.

EXPORT PROCEDURE

For exporting the goods manufactured locally to the foreign countries, the method comprising on the following steps is adopted. This procedure is approved by the government (here the Government of Pakistan):

First step: Receiving Inquiries

As the first step of export procedure, the exporter receives the inquiries from the foreign importer for acquiring information about the goods required. The information which the importer wants to collect from the exporter includes:

1. Type, size, volume, grade, brand and price of the goods.
2. Mode of packing
3. Port of delivery
4. Mode of delivery with date
5. Mode of payment

For providing all these information, the exporter fills a form called "proforma invoice".

Second Step: OBTAINING ORDER / INDENT:

When the foreign importer gets satisfied with the information provided by the exporter, the exporter receives order or indent from the importer. This order contains name of the goods, quantity, number, quality, brand, volume, grade, packing, mode of payment and the port of destination etc. the order from the importer can be classified into two kinds.

- i. Open indent / order
- ii. Closed indent / order

All the information mentioned above are included in the closed indent but these details are not given in the open indent. They are left on the option of the exporter.

- i. Retirement of a particular director of the company.
- ii. Death of a particular director or any key partner of the company.
- iii. Establishment of a new business or new line of business.
- iv. Increase or decrease in prices.
- v. Change in place
- vi. Merger of the business
- vii. Introduction of a new product or service
- viii. Entry of a new partner
- ix. Appointment of a new agent or firing of the old agent.

7. **LETTER OF APPLICATION FOR JOB:**

The application like letter is written by the candidate to the employer to provide information pertaining to his personality. The language of such letters should be simple and plain and there is no room for floral language and use of idioms.

The aspects which are required to provide include the following:

- a. Name of applicant
- b. Father's name
- c. Address
- d. Place of birth
- e. Date of birth
- f. Permanent residence address
- g. Nationality
- h. Marital status
- i. Academic qualifications
- j. Professional qualifications
- k. Job experience
- l. Professional qualifications
- m. Hobbies and fields of interest.
- n. References

8. **LETTERS FOR APPOINT OR ACQUIRING AGENCY:**

These letters are written either for acquiring selling rights of the goods of a company or a company appoints the agency for the sale of its goods. If the letter is written to a producer or manufacturer for acquiring the agency for sale, the person who wishes to acquire the agency, should inform in the letter about the nature of his services and the names and addresses of the companies the agency of which he has possessed in the past.

9. **LETTERS FOR INTRODUCING NEW PRODUCT:**

Letters for introducing new product are written and sent to different sellers. This letter should contain the name and related qualities and characteristics of the product to introduce in such a manner that the reader should have a motivation to purchase.

10. **DEMI-OFFICIAL LETTERS**

Demi official letter are nontraditional having personal touch. These letters create links between the government officers pertaining to the different official matters created between them on personal grounds.

- a. Address is written after the close of letter on left side of the letter
- b. The post and designation of the sender is not written with his name.
- c. These letters are not written on printed letter head but the heading is typed.
- d. Salutation is quite different than that of business letters and generally is adopted in the light of social and official relations of the writer and the reader.

At a glance structures of the official letters and demiofficial letter are given.

COMPLETENESS:

5. A standard and good business letter should be complete in all respects so that the reader might not write again and again to have the complete information. Apart from it, the defect of an incomplete letter is that the information received in bits loses its effect.

NEATNESS AND ATTRACTIVE:

6. A business letter whether is hand written or written on computer should be neat and clean so that it could motivate the receiver to read it. A neat letter is read easily. In other words, a business letter should be equipped with the quality of attraction.

FORCEFULNESS:

7. A business letter should also be characteristics forcefulness. Forcefulness refers to the quality of creating impression, motivating, satisfactory and attractiveness. If the letter is forceful, the reader can't help out but to read it.

INEFFECTIVE	EFFECTIVE
The product of star textiles is very good.	DO YOU DESIRE TO USE BEAUTIFUL AND COMFORTABLE CLOTHES IN SUMMER?

CORRECTNESS:

8. All the information and matters included in the letter should be correct and provision of wrong and exaggerated information and statements should be avoided. A special care should be taken in connection with quoting figures.

INCORRECT	CORRECT
Goods received are defective	OUT OF 1000 PCs, 100 ARE DEFECTIVE

POLITENESS AND COURTESY:

9. Politeness and courtesy creates power of impression in the letter therefore, the letter should be written in polite language and courteous manner even if the matter is so serious.

"Politeness and courtesy reign the juvenile horse"

Every phrase of the letter should prove that you are polite and courteous. For example.

RUDE UNCORTEOUS	POLITE AND COURTESY
You have violated the contract by including some sub-standard items in the consignment.	WE ARE ASSURED THAT DUE TO SOME MISUNDERSTANDING OR ERROR SOME SUB-STANDARD ITEMS HAVE BEEN INCLUDED IN THE CONSIGNMENT.

CORRECTNESS:

10. Concreteness makes the letter standard. If a general statement, pertaining any matter is made in the letter not making it concrete and specific. It would go confused which is the defect of a business letter.

GENERAL	SPECIFIC AND CONCRETE
Radio set manufactured by us are good and durable. (No. explanation of brand of radio sets, good and durability has been given).	FICO RADIO MODEL T/25 GIVE CLEAR SOUND, EASY TO CHANGE CHANNELS AND NOISELESS IS THEIR QUALITY. THREE YEARS FREE SERVICE AND WARRANTY IS EXTENDED.

2. **INDENT**
An exporter, prior to send the goods to the foreign importer, receives indent from the importer in which the price of the items, quantity, quality, volume, pattern of packing, mode of payment, etc. are shown. It is the duty of the exporter to observe these instructions strictly and if there is any confusion, it should be first cleared from the importer so that no problem and complications may create in future.

PROFORMA INVOICE

3. Proforma invoice is different from common invoice. Proforma invoice is simply printed for getting information. It is not account of the goods to be sent but a reference in the form of invoice. It is prepared in case of proposed buying to show that what would be the expenses when actual sell would come into effect? This kind of invoice is needed in the following situations:

- When a seller receives the first order and he feels that the reference provided by the buyer are not satisfactory, he first sends proforma invoice and request s for the payment prior to send the goods.
- When the trader or the producer sends the goods to agent to sell and advise him to sell the goods at the highest possible price.
- When the goods are being sent to other country, proforma invoice is sent to evaluate the tax on the goods being sent. In other words, this invoice shows the estimated value. Proforma invoice is also prepared in the lines of common invoice with the difference that on the top of this invoice "IT IS PROFORMA INVOICE" is written prominently.

LETTER OF CREDIT

4. It is the document through which the bank, part from opening the account, authorizes the exporter to prepare the bills of exchange up to a limited amount (agreed) on the bank and can present before the bank to pay. This letter of credit is issued against some documents or bills of exchange. Letter of credit is the most important tool used in the foreign trade. It is opened by the foreign importer by his bank in favor of the importer. Letter of credit may be "irrevocable" as well as "revocable".

The following kinds may also be of the letter of credit.

- CLEAN OR OPEN CREDIT.**
It is the limit of letter of credit. If no reference of ship is given in L/C, It is called clean credit.
- DOCUMENTARY CREDIT**
The shipping documents should be attached with this letter of credit.
- MARGINAL CREDIT**
It is the form of letter of credit with which either the plain form or its form is printed in which the details of receiving the bills are given.
- This letter of credit may be revocable as well as irrevocable. Its property is that as soon as the written amount is exhausted, the same amount is automatically made available to use.**

LETTER OF HYPOTHECATION:

Letter of hypothecation is the document which authorizes person or the firm for having credit in as advance. The letter of hypothecation is generally

Third step: OBTAINING LETTER OF CREDIT (L/C)

The banker of the importer issues letter of credit in favor of exporter. L/C is the guarantee from the banker of importer that when the exporter would present this, the banker would accept it for payment. The letter of credit is irrevocable. In other words, the bank can't deny the payment of L/C. The risk of non-payment, therefore, is eliminated and the exporter gets satisfied that no risk is there in payment against his exported goods.

Fourth step: DETERMINATION OF EXPORT QUOTA:

In the situation when the goods to be exported are short in supply and they are needed in the country itself, the government fixes quota (limit) for exports. If the exporter wants to export such goods, he acquires the permission from the government called "export quota".

Fifth step: OBTAINING EXPORT LICENSE.

As the importer is supposed to acquire import license from the government of importing country, the exporter is also required to acquire export license from the government of his country. There are following kinds of export license.

- a. Limited free license: on the basis of this license, the exporter can export any quantity after paying the required export duty.
- b. Newcomer's license: this license is acquired by exporters who enter in the export business newly.
- c. Quota license: the holder of this license can export the limited quota only.
- d. Free license: according to this license, the exporter can export any amount of the goods permitted by the government.
- e. Open general license: the holder of this license can export any amount of all the goods open to export.

Sixth step: COMPLIANCE OF RULES OF FOREIGN EXCHANGE:

If the exporter is from Pakistan, he will have to render a guarantee in accordance with the foreign exchange regulation. Act that whatever foreign exchange which he will earn through the export of the goods, he would surrender in favor of the state bank of Pakistan. He declares this GR form. The original of this form he submits with the custom officer and three copies of this form he submits with the bank which deals in foreign exchange.

Seventh step: FIXATION OF RATE OF FOREIGN EXCHANGE

The rate of exchange varies in the open market daily therefore, as soon as the transaction of importer is complied with, pays for the imported goods in the local currency at the prevalent rate of exchange. In other words, how many Pak. Rupees will he pay for how many dollars or pounds?

Eighth step: ARRANGING GOODS TO EXPORT

If the exporter is manufacturer or the producer himself, he starts the production of goods to be exported otherwise he will purchase the required goods from the local market.

Ninth step: PACKING AND MARKING

When the goods to be exported are arranged either through production or through purchase, the process of packing initiates. The packing is carried in accordance with the instruction given by the importer and on which the exporter agreed. The exporter should be assured that the packing is safe because if the damage takes place during transit due to defective packing, the exporter would pay compensation.

Sixteenth Step: INSURANCE OF THE GOODS:

Getting the goods to be exported insured from an insurance company is a must for exporter. Insurance assures that the goods would reach at the destination safe. If any damage or loss incurs, the losses would be compensated by the insurance company. This insurance in sea is called marine insurance.

Seventeenth step: OBTAINING CERTIFICATE OF ORIGIN:

The goods which are exported are either produced within the country or they are exported after importing from other country. According to some of the laws, only the locally produced goods are permitted to be exported but in some cases only the imported items are permitted to be re-exported. If the goods have been produced, it will have to be proved by the exporter. The certificate of origin, therefore, proves so. This certificate proves that the goods to be exported have been produced within the country. This certificate is issued either by the Chamber of Commerce of the exporting country or by the Export Promotion Bureau. The certificate of origin, with other documents is sent to the importer. Nevertheless, if the goods are exported after importing them, this certificate is not required.

Eighteenth step: LOADING GOODS ON SHIP

At this stage, the goods are sent on the board of a hired ship. The mate of the board of the ship compares the consignment with the papers. The mate is of second to captain in rank. After verifying the goods, he issues a receipt called mate receipt. This receipt also contains all the details which have been mentioned many times in foregoing pages. There are two kinds of mate receipt:

- a. If the mate is satisfied with all the details of the goods, it is called clean receipt
- b. If the mate is not satisfied with the packing of the goods and does not want to take responsibility of any loss due to the defective packing, he issues the receipt called foul receipt. The holder of this receipt can't hold the shipping company responsible for any loss due to faulty packing.

Nineteenth step: BILL OF LADING

Bill of lading is issued by the shipping company signed by the captain and the master of the ship. This bill contains the name of the ship, name of the port of export. Name of the port of import, details of the goods, date of dispatch, name of the importer and his address, name of the shipping company and the address etc.

Last step: PREPARATION, ACCEPTANCE AND DISCOUNTING BILL OF EXCHANGE

After the completion of all steps, the exporter prepares bill of exchange in the name of importer in which he is asked to pay within a certain period of time. This payment is made either to the person whose name is mentioned in the bill or according to his order. This bill is attached with all the papers which are sent to importer. The importer signs it and sends it to the banker to the exporter. The bill of exchange can also be sent to the banker nominated by the importer. The banks, after accepting it, hands over to the exporter.

If the exporter is in need of immediate cash, he can get it discounted from the bank and can have the cash. Discounting means deducting the percentage of prevalent rate of interest from the total bill and remainder amount is paid to the exporter in cash.

FACING EMERGENCIES

7. Only country could be the victim of any natural calamity anytime like storm, flood, earth quack, heavy rains, war etc. If shortage of anything is created due to these causes, it could be compensated through imports. Other countries, in this way, could be aided during emergencies.

DISADVANTAGES

8. Following are also the disadvantages of foreign trade.

Danger of global cash.

1. Today, every country desires to dominate world market and to get the rivals rid off the market. This craze of capturing the world market is a constant threat for global peace because the same enmity, when increases, may be alarming with reference to the world peace.

Political slavery

2. Less developed areas, on the global level, emerge as the importers of finished goods and exporters of raw materials and labors. Importing from the developed countries becomes a must for the less developed countries and they ultimately become the slaves of the developed countries because developing economies can't survive without seeking the help of the developed countries.

Production of a few goods

3. In accordance with the principle of foreign trade, every country specializes in producing and exporting a few goods and services. If any of these industries fails, such a country is bound to become the victim of economic chaos because it will not be capable to produce other goods. On the contrary, developing countries are constantly busy in developing the substitutes of the goods which they import from the developed countries. Consequently, the exports of the exporting countries are minimized and they are entangled in chaos.

RISK OF DEPRESSION

4. All the countries of the world are integrated through trade relations. If depression is created in one country, other countries can't be escaped. The world has tasted the sour fruit of depression of 1930.

End of self dependence

5. Foreign trade makes the countries so leisure lovers that sometimes they depend even on the imports of necessities of life. If the countries form where they import becomes treacherous. Their survival will be difficult. Pakistan depended on the foreign military aid during the war of 1971 with India which could not be provided to Pakistan.

Comparative loss

6. Ricardian theory of comparative advantage has been proved as the theory of comparative disadvantage for the developing countries because the developing countries can't develop working on free trade. Developing countries can't give the quality of the goods as the developed countries can. Consequently, developing countries remain permanently developing which achieve less and lose more.

Limited span of supervision

3. A sole proprietor however qualified and clever will find it hard to supervise the work of his sub ordinate beyond a certain limit e.g. in case of large general store owned by single person, it will be difficult for the owner to keep an eye on all the department and employee and to ensure that the customer are treated nicely. The problems will be more acute if store has its branches in other places.

Limitation of size

4. Because of limitation of finance, managerial skills and span of supervision a sole proprietor has to mangle the size of the business up to certain limit. This deprives the firm of the opportunity of reaping the economics of large scale production.

Unlimited liability

5. He has great risks. It is true that he receives all the profits of the business but likewise he has to face the entire losses. Not only the assets of the business but also his private assets will be used to pay off the firm's debts and losses. Unlimited liability also discourages the expansion of business.

Lack of continuity

6. Any personal problem or illness which affecting the sole proprietor has direct effect on his business. It ends the retirement, death or bankrupt of the owner. If the business is rendering useful services to the society the closure of such a business will be social loss. Similarly with the death of the proprietor, the business may pass on to his successors who may not possess the same degree of self-reliance, ability and intelligence

Ease of formation

7. The very ease and cheapness of entering business as a proprietor may be disadvantages. Many people go into business with too little capital and training and are dashed by the competition of the business. As a result a number of business failures are proprietorships.

Suitability of sole proprietorship

One man control over the business would be most efficient and profitable. If only one man has the capability of managing everything indefinitely. Unfortunately such a person does not exist. This form of organization is therefore suitable for the following cases.

- Where the capital requires is small and risk is not heavy since merchandise and services of one kind are sold. e. g. magazine and newspaper stand, bakeries, teashops, rental libraries etc.
- Where quickness in decision is needed i.e. bullion dealers, share brokers etc.

Business purpose

The main idea of partnership is to do business and distribute the share profit earned during the course of business among the partners. The aim of business must be earning of money.

Sharing of profit

The partners carry out business with the view to earn profit which is distributed among them in agreed ratio. In similar way, if there is a loss all partners are going to bear it.

Capital

The partners provide capital from their own pockets but they can also borrow money at their own risk. One can become partner of a firm even without contributing any money towards the business. In that case, his time, energy and intelligence will be regarded as capital for which he will take a share of profit. If the partners devote the maximum amount of his time in business he would also be paid a salary.

Mutual trust, confidence and utmost faith

All the partners must trust each other. They work in closed co-operation to make the enterprise a success. The partnership agreement is made on utmost trust and faith. The partners must disclose every information and must present true accounts to one another.

Presence of agency.

The other most important element of partnership is the presence of agency between partners. Each partner is liable for the act of other partner. It may be possible that one partner transact whole business on behalf of other partner with their consents.

Business in wider sense

The term business is very wide and it includes every kind of trade, profession and occupation. Thus the partnership is not confined to a particular kind of trade or profession. Thus partnership has no limitation of duration and it may be formed for a single transaction.

Unlimited liabilities

Every partner has unlimited liabilities toward the firm's debt. The creditors can recover debt from the personal property of the partners.

No separate legal entity.

Generally partnership has no legal status as entity. The assets are used and liabilities are owned by the partners collectively.

Effects of partner's death.

Unless the partnership agreement provides otherwise the death of partner automatically dissolves the partnership business.

12. **Restriction of retirements of partners.**
The partner cannot retire without the consent of the co-partners.

The partnership organization has following types of partners.

TYPES OF PARTNERSHIP

1. **Active or working partner**
These are those members of partnership who contribute to the capital of the firm and taken the active part in the conduct and administration of the business. He is considered as agent of the firm by other partners.
2. **Dormant or sleeping partner**
They contribute to the capital of the firm but do not take any part in management. Their names do not appear anywhere as partners but in reality they are partners. They also share profit. They liable to the third parties on behalf of the firm. He has every right to inspect and copy the books of account.
3. **Nominal partner**
He is the one who neither contribute any capital the firm nor takes any active part in conduct and administration of the business he only lends the use of his name to the firm. He is not entitled to share the profit. He is liable for all acts of firm.
4. **Quasi partner**
A quasi partner is a retired partner who has left his capitals with the firm as loans. He gets interests on his loans at the rate varying with the profit of the firm.
5. **Limited partner**
The liability of the limited partner is limited to the extent of his investment in the business. Such a partner is not allowed to take part in the management of the firm. In case of failure he cannot lose anything from his private property.
6. **Minor partner**
With the consent of all partners a minor person can be admitted to the benefits of the firms only. Such a partner cannot be held liable for the firm's debts.
7. **Self styled partners**
Any person who calls himself by his gesture and posture or conduct or by his words of mouth or by written expression to be the partner of the firm is known as self styled partner.

3. private limited company. In addition of this it is also essential for the, to purchase the qualification share.
 4. Articles of association duly signed as memorandum of association
 5. The consent of all the directors to act as directors.
 6. A formal declaration by the secretary that all the formalities are duly completed.
 7. A statement of normal capital.
- Along with the above documents, registration fees, which varies with the amount of share capital is paid off to the treasury.

CLASSIFICATION OF COMPANIES

There are following classes of Joint Stock Company:

1. CHARTERED COMPANY
2. STATUTORY COMPANY
3. REGISTERED COMPANY
 - a) Limited Company
 - i) Private limited company
 - ii) Public limited company
 - * company limited by guarantee
 - * Company limited by shares
 - b) Unlimited company

ALFA CORPORATION
Burns Road Near Women College
Phone # 32626740

1. CHARTERED COMPANY

This type of company was formed in England and many other European countries before the passing of company acts. They are called chartered companies because they created by the royal charter of sovereign of a country. Such companies are rarely formed, in present days. The chartered bank of England, the chartered mercantile of India, the imperial bank of east India Company has been formed under such chartered. In such companies the share holder are not responsible of the debt of the company. It can be dissolved by the king. After the passing of the companies Act such companies began to register under companies Act.

2. STATUTORY COMPANY.

They are formed under the special act of the legislature. These are not regulated by the companies act. The special act of the legislature under which they are formed gives them monopolistic power to trade in the particular field of operation. Government took the initiative and created national bank of Pakistan, P.I.B.C and state bank of Pakistan etc. its functioning is more or less the same as the registered companies. Government controls more of the share than the public. Other example of this company is P.I.A. etc.

3. REGISTERED COMPANY

This is most common form which is created under companies act. Before a registered company can be formed certain legal formalities are required to be completed and documents are to be filled with the registrar of the joint of stock companies of the providence. In Pakistan these companies are incorporated under the company's ordinance. It is two types.

2. **Object clause**

This clause is very important one must be very carefully drafted as it determines the activities of the company. Here each and every detail of activities of the business to be carried out must be laid down. Once the object clause is completed it becomes very difficult to make any amendments. The value of the share the utmost money must be given in detail.

3. **Situation clause**

This act provides that the company must have a registered office so that registrar may be able to send notice etc. to the company at the registered office.

4. **Liability clause**

A declaration that the share holder liability is limited.

5. **Capital clause**

This clause must contain a statement as to the amount of capital with which the company proposes to be registered and the division therefore into share at certain fixed amounts.

ARTICLE OF ASSOCIATION

This is an important document which must be prepared and filled with the registrar of the company. It contains rule and regulation regarding the internal work and management of the company. It defines the power, rights, and duties of directors, share holders and other officer of the company. The purpose of this document is to carry out the object set out in the memorandum. The memorandum limits the jurisdiction beyond which the article of association cannot go. It states how general meeting are to be held, how the voting is to be done.

DIFFERENCES BETWEEN MEMORANDUM AND ARTICLE OF ASSOCIATION

Memorandum of the association

Article of association

- | | | |
|----|--|---|
| 1. | It is charter of company which defines the powers objects of the company | 1. Its contains rule and regulation regarding the internal work and management of the company. It defines the power, rights, and duties of directories, share holder. |
| 2. | It is difficult to alter. | Its alteration requires confirmation of the court.....2. it can be altered by passing special resolution in a general meeting. |
| 3. | It must be signed by at least 7 subscribers..... | 3. It must be signed by at least 2 subscribe. |

9. **STATUTORY MEETINGS**

It is not necessary for the private limited company to call a statutory meeting. But statutory meeting must be called within 6 months from the commencement of the business in public limited company.

10. **APPOINTMENT OF MANAGING AGENTS**

Managing agents in private limited company can be appointed for a period, but managing agent in the public limited company can be appointed for the 20 years at most.

11. **QUALIFICATION OF SHARE FOR DIRECTORS**

In private limited company there is no qualification of shares for directors but in public limited company a person will have to purchase qualification share for becoming the director of company.

12. **CONDITION OF MINIMUM SUBSCRIPTION**

The condition of minimum subscription is not applicable for private limited company. But for the public limited company the minimum subscription must be raised before the almost of shares of the general public

ADVANTAGES OF JOINT STOCK COMPANY

1. **HUGE AMOUNT OF CAPITAL**

It is in position to raise large amount of capital required for big business. The reason is the limitation of liabilities and ease of transferability of share. A small value of share allows charge number of people to invest. Therefore large capital can be raised by Joint Stock Company.

2. **ALL PEOPLE CAN INVEST**

The shares are of different kinds and they are purchased by person of different temperaments. The small value of share allows the poor people to also purchase it. Besides the company can also raise finance by the issue of debentures and bonds.

3. **LIMITED LIABILITIES OF SHAREHOLDERS**

The liabilities are limited. It means that the risk is spread over a large number of share holders and possibility of hardship on few is reduced. Secondly if the business is lost the shareholder are not going to loose anything from their private properties.

4. **EFFICIENT MANAGEMENT**

The management is carried out by the people who are able, experienced and trustees of share holders. It is thus in the hand of few exporters, secondly the company can also hire efficient and qualified staff since It can pay their wages.

5. **STABILITY OF BUSINESS**

The success of business also depends upon the life of the business. The joint stock company is more suited in this respect, for a company is a legal person having a perpetual succession.

6. **EASE OF EXPANSION**

In joint stock Company if it is desirable to expand the business it can be easily done by the issue of more and more shares.

7. **EASE TRANSFERABILITY OF SHARE**

The share of company are easily bought and sold in stock exchange market like ordinary commodities, and the shareholder can withdraw his money when ever required by selling his shares to others. This fact encourages the public to invest money.

8. **LEGAL ENTITY**

The company has legal entity distinct from the shareholders. The company can enter into any contract with any person on behalf of the company's name.

9. **TAX CONCESSIONS**

The income tax has provided special concession to joint stock companies which are not available to sole proprietorship or partnership organizations.

10. **MASS PRODUCTIONS**

The greatest benefit of the joint stock companies is that it has made possible production on larger scale. Modern and mass production needs huge capital which can be accumulated in such a form to business organization.

DISADVANTAGES OF JOINT STOCK COMPANY

1. **DIFFICULTY IN FORMATION**

The promoters has to undergo under certain legal formalities to create the business. They have to prepare and file the necessary documents and pay the registration fee.

2. **SEPARATION OF OWNERSHIP FROM CONTROL**

The management of the company is entirely in the hands of directors and the shareholders. Who are the actual owners have no say in it. The directors may be dishonest and may deceive the public.

3. **LACK OF PERSONAL INTEREST**

As compared to other forms of business such organization lacks personnel interest, because the management knows that they will be paid in any condition and secondly the directors know the profit will be divided into number of share holders. This situation leads to the absence of personal interest.

4. **LACK OF SECRECY**

A successful requires secrecy sometimes in certain matters. Secrecy cannot be maintained here because each and every formula or terms are exposed to all the shareholders regarding the volumes at sales margin of profits etc.

5. **MONOPOLY**

Another danger lies in a tendency for the joint stock company to form themselves into a combination exercising monopolistic powers and monopoly is against public interest.

6. **CORRUPTION**

The share being easily sale able, shrewd directors sell them whenever they suspect any danger in the business and shift the loss of the company on general public.

have the proper arrangements for home delivery. The buyer either in person or on telephone gives the order of purchase the retailers, by his carriage, drops the goods at the door of the buyer and receives the payment.

2. **SERVICES TO THE PRODUCERS**

The entire business of the retailer depends on the basis of demand, taste and liking of the fixed customers. He not only sells them but also watch their taste, income, trend, liking etc. He through the wholesaler, transfer his observation to the producer who sets his programmed of production in the light of the same observation. A retailer, in this way, serves as the guide to the producers.

3. **STORAGE :**

The consumer, due to the storage of capita, is not in a position to purchase the goods of his requirement at a time and to store them therefore; he buys the goods in small quantity according to his needs. He is the retailer who, by keeping the stock of the goods with him, relieves the buyer from the problem of storage.

4. **AFTER SALE SERVICE:**

The retailer who deals in machinery like, computers, cars, scooters and the similar goods, provides after sale services to their customers. If the fault is created in the machinery, they get it repaired well in time and at reasonable charges. Moreover, they also provide spare parts etc.

5. **VARIETY OF GOODS:**

The business of the wholesaler depends on the value of goods purchased by the retailers therefore, since the major part of the capital of the wholesalers is consumed on the stocking the goods, he is not capable to keep the stock of different goods. Contrary to it, since the retailer depends on the variety of goods, he is not interested in keeping the large stock of the goods but to keep the large variety of the goods, the consumers can purchase the different varieties of goods of different producers.

6. **EXPERTISE SERVICES:**

The retailers, with the sale of goods to the customers, also provide expert opinion to them. The suggestions pertaining the utility, nature and the quality of the goods make buying easy for the consumers.

7. **CREDIT FACILITY:**

All types of retailers, selling on credit, provide the credit facility to their customers and no interest is charged on this credit. Credit facility helps the retailer to make new customers.

8. **CASH DISCOUNT:**

The customers who purchase on cash, the retailers provides them discount from 2 to 10 percent of the price on be paid. Allowance of discount motivates the buyers to purchase on case because discount decrease the price for them.

9. **ADVERTISING:**

The retailer also serves the producer or manufacturer as publicity maker because he, through praising the goods of producers, motivates the buyers to purchase.

10. **SMALL AMOUNT :**

The retailer, apart from selling the goods in small quantity also provides another facility to them that they could purchase fresh goods whenever needed.

CHAPTER 8

FOREIGN TRADE

Q: What is meant by import business and what procedure is adopted for importing the goods? Explain.

Describe the method of importing systematically

Defining and explaining import business give the importing procedure.

Ans: The nature has not been bestowed all the countries the ability to produce all the goods of their requirements. The nature, due to the differences in location, climate and geographical conditions, makes some countries capable to produce some particular goods and they become self sufficient in these products.

Import business, therefore, can be defined as under:

"Getting the goods from the foreign countries on payment to cater the local needs, is called import"

PROCEDURE

Import can be classified into two types:

- Local importing firms
- Foreign importing firms located in the country.

Both the type of importers adopts the same procedure for importing the goods from foreign countries. This procedure consists on the following steps.

First step: REGISTRATION

It is imperative as a first step for the importer that he should get himself registered as commercial importer or industrial raw material user or the consumer with the chief controller of imports and exports. The intended importer is supposed to submit the following documents with the chief controller.

- Receipt of rent of the place where he runs business.
- The name of the banker and his account number
- Certificate of nationality or his passport.
- Income tax assessment order
- Membership certificate from the chamber of commerce
- Profit and loss account of at least one financial year.

Second step: OBTAINING IMPORT LICENSE

Having registered with the chief controller of import and export, he has to apply to the chief controller for acquiring the import license that what does he want to import and in what quantity?

PARTNERSHIP DEEDS OR PARTNERSHIP AGREEMENT

It is document in which the term and condition of partnership agreement are written. Hence contract is said to be the essence of partnership business. It can be oral or written. The written document of partnership is known as partnership deeds. Partnership may be formed and condition of the contract put down in black and white. The partner is to be free from future confusions and misunderstandings. Good relation between partners may not continue for a long time. In future there may be difference of opinion between the partners on some points. The differences may only be removed if the terms and conditions are in the documented to avoid future disputes and misunderstanding between partners. A well drawn up partnership deed usually contains the following forms.

1. Name of the firm
2. The nature of object of the business
3. The duration of the business
4. The names and address of the partners
5. The amount of capital of the firm and the amount contributed by each partners.
6. The ratio of sharing of profits and losses of the firm
7. The management of the firm
8. Salaries if any paid to partners
9. Interest on partners.
10. The rights and duties of the partners.
11. The valuation and treatment of good will in case of dissolution of the firm
12. Rules and regulation regarding the admission of new partners and expulsion and retirement of an existing partner.
13. Appointment of an arbitrator to settle disputes if any among the partners.
14. The names of banks where firm account will be opened
15. The names of auditor or who will inspect the books of account
16. The names of partners who will sign the important document
17. The procedure of the dissolution of the firm and settlement of accounts

DISSOLUTION OF LIQUIDATION

A partnership may be dissolved in any of the following manners.

1. Dissolution by agreement

A partnership may be dissolved when the partner is of the opinion to dissolve the firm, or it may be dissolved accordingly to the contract between partners.

2. Dissolution on the happening of certain contingencies.

- a) If a partnership has been formed for a fixed term, then it can be dissolved after the expiry of the term.
- b) If the partnership has been formed for carrying on one or more ventures, then it can be dissolved after completion of that venture or ventures.
- c) On the death of partner it may be resolved
- d) By adjunction of a partner as an involvement by the court of law.
- e) A partnership may be dissolved on the insolvency of itself.

Q: Highlights the types of wholesalers.
In how many kinds you classify the wholesalers? Explain
One wholesaler, with reference to his function, is different than other.
Discuss
Despite the same function why the wholesalers are are classified into different types? Discuss.

Ans: Wholesaler, according to the definition, is the person who purchases the goods from the producer and sells them to the retailer in large quantity. Despite the same nature of job, they are classified into different kinds of given as under:

1. **REPRESENTATIVE OF MANUFACTURER:**

The representative of producer or the manufacturer is the employee of the company. These representatives search the retailers and have contact with them. They display the goods of their principal and acquire orders from them.

2. **RACK MERCHANTS**

Rack merchants establish their business of sales either in or outside the shop of other retailer. They pay the commission to the owner of the shop on the volume of the total sale.

3. **IMPORTER AND EXPORTERS:**

Importers and exporters are also the wholesaler who deals in international or foreign trade. The exporters provide the goods of their countries in the foreign countries which are scarce there.

4. **BROKER**

Apart from the "bill broker" who works for himself, broker generally performs the act of selling the goods on behalf of principal. Most of the brokers are seen busy either as buyers or the sellers.

5. **JOBBERS**

A jobber provides the goods to the retailers in the large quantity. They occupy the position of Department store s. Jobbers are mainly concerned with the investment. The jobbers occupy the main business in the form of securities but they deal only with the brokers who carry the business on behalf of their principal.

6. **SELLER'S AGENT:**

The seller's agents (wholesalers) do not maintain the stocks of the goods to be sold but they sell the goods of their company on the basis of some conditions.

7. **TRUCK DISTRIBUTORS**

Truck distributors are small wholesalers who provide the goods to the retailers in small quantity through their trucks.

Q: What services the wholesalers provide to the producers & manufacturers?
Discuss.

Discuss the nature of relationship maintained between the wholesaler and the manufacturer. Explain.

Assess the significance of a wholesaler for and producers of the manufacturer.

Ans: The wholesaler renders a very important and useful service in the existing business world. His importance could be evaluated in the light of the services which he renders for the producers and the manufacturers. The services of the wholesalers for the manufacturers are given as below:

direct contact with the consumers. He occupies a very important and strategic place in the entire distributive system.

SIGNIFICANCE OF RETAILING:

The importance of retailing can be evaluated on the basis of following.

1. **ECONOMY OF TIME:**

Presently a common buyer is short of time because the business of every person, with the passage of time and complication as well as the expansion of the society, is also increasing tremendously. The tasks which are to discharge by a person require long time but he is facing the scarcity to time. Similarly, the consumer is also involved in the same problem.

2. **SATISFACTION BY SMALL CAPITAL:**

A common buyer does not have the surplus capital to purchase the goods directly either from the wholesaler or the manufacturer because both do not sale in the small quantity.

3. **NO PROBLEM OF STORAGE:**

Even if consumer, arranging for the capital, purchase the goods in bulk from the wholesaler or the producer then he will have to face a problem where and how to store them because not only the tools and machines are required for storage but the space is also required. The retailer, by storing the goods in his shop, solves the problem.

4. **REDUCTION IN PRICE:**

The retailer, for facilitating his customers, appoints expert salesman who attract the buyers towards the shop through rendering the services to the satisfaction of the prospective buyers. All the retailers, to attract their customers, do the same. As consequence of this severe competition, the retailers not only fail to increase prices but they are bound to keep their prices competitive (low) due to which the customers are benefitted.

5. **CREDIT FACILITY:**

The retailers are introduced with the consumers soon due to their limited area of sale. As a result of this, they are in a position to sell on credit to the known buyers. The buyers, in this way, can get the credit facility from the retailer.

Although the types and kinds of retailing are many but the functions are more or less the same. Retail business is carried on the sole proprietorship and the major part of the entire business structure is concerned with the retailer. In case of expansion in the retail business, the services of the hired persons could also be acquired.

Q: Highlight the various services rendered by the retailers
How many kinds of services a retailer provides to the society? Discuss
The services which a retailer renders can't be provided by the wholesaler or the manufacturer. Comment.s.

Ans: The retailer various services in the business world given as below:

1. **HOME DELIVERY:**

The people are becoming busier and they have no spare time to the shop, select the goods, and select the goods to take them to home. The retailers